

Summary of Conclusions

EU T+1 Coordination Committee

Date: Friday 4 April 2025

Time: 14:00 – 15:30

Location: Microsoft Teams

1. Welcome

2. EC update on the current CSDR change legislative process

The EC representative reported from the Council working party which took place on 2 April 2025 where good progress was made, and the Council is expected to shortly reach an agreed position. Two issues were discussed: a possible exemption for securities financing transactions (SFTs) and a possible suspension of cash penalties around the move to T+1.

3. ESMA update on current work on regulatory changes

The ESMA representative gave a brief update on:

- The timeline of the public consultation on possible amendments to the RTS on settlement discipline which is still open until Monday 14 April.
- The timeline of and the on-going work on the technical advice on cash penalties, which is expected to be submitted for approval to the ESMA Board of Supervisors in June.

The following comments were made:

- The T+1 Industry Committee (IC) Chair indicated that it had been agreed by the IC that it will be up to each trade association to respond to the RTS consultation, and for the IC secretariat to coordinate, to ensure consistency between responses. He further confirmed that, based on TW work, not having major diverging positions, there should not be any substantial differences on key points between associations
- The Chair highlighted that it would be beneficial if a common message on key points could be agreed by the associations to ensure good progress by ESMA on the development of the draft RTS.

- The EC representative supported this message, adding that getting at least majority views would give a clear way forward which would also be useful for the good progress of the legislative process with the Council and Parliament.

4. ECB update on T2S preparations for T+1

The ECB representative presented the status of the work that has been conducted so far, in particular through the dedicated T+1 Task Force set up under the T2S governance in January 2025 (the T2S T+1 TF):

- the T2S governance needs to identify and launch the assessment for any T2S change requests in Q3 2025;
- the T2S T+1 TF has prepared preliminary considerations regarding the perimeter of possible T2S adaptations, expected to be shared with the IC by end April 2025;
- work focused on possible changes to the T2S Night-Time Settlement (NTS), based on evidence through external data points across trading, clearing and settlement activities and internal data points.

The IC Chair confirmed that this is aligned with the work done at IC level (no request for a full reshape of T2S, only to make certain changes; this is in particular discussed by the Operational Timetable TW).

- **Industry Committee Chair update** [*presentation*]

The IC Chair updated the Committee on the following:

- TW update: all co-leads feel that their workstreams are making good progress and no substantial roadblock to delivery of the final report by end of June has been identified so far.
- Updated 2025 work plan:
 - 15 May: TWs to finalise draft recommendations
 - 28 May: in-person IC meeting in Brussels
 - 30 June: publication of finalised Implementation Roadmap report
 - Summer: public consultation
 - September - December: T+1 Implementation Playbook and T+1 Q&As.
- Communication strategy: a letter from the Chair explaining the project and governance structure has been finalised and will be made public on the ESMA website. It should be distributed as appropriate by IC members, including to national associations and other market groups.

- The IC Chair highlighted that more engagement from national stakeholders is desirable. Both the EC and ESMA representatives agreed to continue further raising awareness, of this issue and the possibility for different types of market participants to join the TWs, to the national representatives and authorities they are in contact with.
- The EC representative and the Chair reiterated the necessity to also reach out to retail investors. The IC Chair agreed and mentioned that it would be one of the goals of the public consultation scheduled over the summer.

5. **AOB:** none

Participants

<i>Chair</i>	<i>Verena Ross, ESMA Chair</i>
<i>Members</i>	<i>Giovanni Sabatini, EU T+1 Industry Committee Chair</i> <i>Carsten Ostermann, ESMA, Markets and Digital Innovation Department</i> <i>Jennifer Robertson, EC, DG FISMA</i> <i>Markus Mayers, ECB, DG Market Infrastructure and Payments</i>
<i>Observers</i>	<i>Robert Hofmeister, ECB Banking Supervision</i> <i>ECB staff, ESMA staff</i>

Next scheduled meetings: 4 June, 22 September and 5 December 2025